

Coca-Cola

Beat 2Q24 and Raised 2024 – Timing Benefit but Underlying Performance Still Exceeded Street

The Coca-Cola Company (KO, Overweight rated) reported 2Q24 comparable EPS of \$0.84, which beat JPMe/consensus \$0.82/\$0.81. Upside vs. our estimates was driven by stronger-than-expected top line (+\$0.02 vs. JPMe), which benefitted from shipment timing, while stronger-than-expected gross margin (+\$0.01 vs. JPMe) was offset by higher SG&A (-\$0.01 vs. JPMe). OSG of +15% (concentrate shipment basis) came in well ahead of JPMe/Consensus Metrix (CM) +10.7%/+9.7%, or +11% on a unit case volume basis, which still beat (albeit lower magnitude) vs. JPMe/CM +10.7%/+9.7%. OSG was driven by +9% price/mix (vs. JPMe/CM +8.6%/+8.0%) and +6% concentrate shipments (vs. JPMe/CM +2.1%/+1.6%). Unit case volumes grew +2% (vs. JPMe/CM +2.1%/+1.7%), driven by D&E markets +MSD% while Developed markets were flat. KO attributed the 4 point gap between concentrate shipments and unit case volumes on timing of shipments. We note that KO disclosed that about 5 points out of the 9% price/mix growth was “driven by pricing from markets experience intense inflation.” Gross margin of 61.4% expanded +204 bps YOY and came in 40 bps/80 bps ahead of JPMe/consensus 61.0%/60.6%. Operating expense ratio of 28.6% was 84 bps unfavorable YOY and compared to JPMe/consensus 28.4%/27.8%. See full details in Table 2.

KO raised its 2024 guidance (see summary and Table 1 comparing JPMe and Street):

- **OSG was raised to +9-10%** from +8-9% before (vs. JPMe/CM +9.6%/+9.1% into the print), which consists of operating performance at the high end of the company's LT growth model [+4-6%] and the anticipated pricing impact of markets experiencing intense inflation.
- **Comparable EPS growth was raised to +5-6%** from +4-5% before (vs. JPMe/consensus +4.6%/+4.7% into today), or implied about \$2.82-\$2.85 from \$2.80-\$2.82 before (vs. JPMe/consensus \$2.82/\$2.82 into the print).
- **FX is now expected to be a headwind of -5% to -6% to the top line** from -4% to -5% before (vs. JPMe/CM -4.7%/-5.0% into the print) **and to EPS of -8% to -9%** from -7% to -8% before.
- **Acquisitions, divestitures, and structural changes is still expected to be a -4% to -5% headwind to the top line and now a -1% to -2% headwind to EPS** from -2% before.
- **Effective tax rate guidance was unchanged** at 19.0%.
- **FCF guidance was unchanged** at \$9.2B based on \$11.4B cash flow from operations and \$2.2B capex, not including any potential payments related to ongoing tax litigation with the IRS (no update).
- **For 3Q24**, on the top line FX is expected to be a -4% headwind and M&A a -4% to -5% headwind, and on EPS FX is expected to be a -8% headwind and M&A a -1% to -2% headwind.

See page 5 for analyst certification and important disclosures.

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Overweight

KO, KO US

Price (22 Jul 24):\$64.77

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- **Expected Stock Reaction: Modestly Positive.** While the headline was stronger than the underlying result (i.e., OSG benefitted by 4 points from shipment timing benefit), the underlying result was still very solid and exceeded the Street estimate of +9.7% and exceeded our Street-high estimate of +10.7% with positive unit case volumes +2% (accelerated sequentially YOY from 1Q) slightly exceeding consensus. The company also raised guidance as we expected ([link](#)), around which we think there was some debate, and while the top line is likely driven more by inflationary factors (i.e., guidance still embeds operating performance at high end of LT algo as before), there was an underlying boost to the bottom line (i.e., 2-point raise to FX neutral EPS growth vs. 1-point raise to OSG). While shipment timing benefit could reverse in 2H24 (recall, there is an extra day in 4Q, so perhaps less of a benefit now, although YTD unit case volumes = concentrate shipments), we also still see guidance as likely somewhat conservative as it implies 2H24 OSG of +5-7% by our math, likely embedding ~3-4% price/mix (i.e., not much different than would be implied by LT algo) despite ongoing inflation (albeit less of an impact in 2H). Net-net, KO has been a consensus long among investors, and we see results as justifying the shares' outperformance vs. peers and would expect investors to continue to prefer the name in a Staples environment challenged by volume performance and decelerating trends.
- **Conference Call Details:** 8:30 AM ET; Dial-in: +1 (888) 415-4465 (U.S.) / +1 (646) 960-0140; Passcode: COKE IR

Table 1: KO's 2024 Guidance

Item	Current	Prior	JPMe	Consensus
2024 Guidance				
EPS				
Growth	+5-6%	+4-5%	4.6%	4.7%
Implied Range	~\$2.82-\$2.85	~\$2.80-\$2.82	\$2.82	\$2.82
Currency Impact	-8% to -9%	-7% to -8%		
Structural, Acquisitions, Divestitures	-1% to -2%	-2%		
Sales Growth				
Organic Growth	+9-10%	+8-9%	9.6%	9.1%
Currency Impact	-5% to -6%	-4% to -5%	-4.7%	-5.0%
Structural, Acquisitions, Divestitures	-4% to -5%	-4% to -5%	-4.3%	-4.5%
Other Items				
Underlying Tax Rate	19.0%	19.0%	19.0%	18.9%
Cash flow from operations (\$bn)	\$11.4B	\$11.4B	\$11.4B	\$10.9B
Net Capex (\$bn)	\$2.2B	\$2.2B	\$2.2B	\$2.1B
FCF (\$bn)	\$9.2B	\$9.2B	\$9.2B	\$8.8B
3Q24 Phasing Items				
Currency Impact				
Sales	-4%		-4.5%	-5.9%
EPS	-8%			
Structural, Acquisitions, Divestitures				
Sales	-4% to -5%		-5.1%	-5.2%
EPS	-1% to -2%			

Source: Company reports, Bloomberg Finance L.P., Consensus Metrix and J.P. Morgan estimates.

Table 2: KO 2Q24 vs. JPMe and Consensus

\$ m, except per share values

2Q24				
Income Statement	JPMe	Consensus	Actual	Upside/Downside vs. JPMe (%)
Net Sales	11,979	11,775	12,313	2.8%
Gross Profit	7,307	7,133	7,564	3.5%
Operating Income	3,902	3,859	4,037	3.5%
Interest, Net	133		149	11.8%
Net Income	3,546	3,478	3,616	2.0%
Shares Outstanding	4,322		4,319	-0.1%
EPS	\$0.82	\$0.81	\$0.84	2.0%
EBITDA	4,172	4,184	4,306	3.2%
Income Statement	JPMe	Consensus	Actual	Upside/Downside vs. JPMe (%)
Sales Growth	0.1%	-1.6%	2.9%	279
Gross Margin	61.0%	60.6%	61.4%	44
SG&A Margin	28.4%	27.8%	28.6%	23
Operating Profit Margin	32.6%	32.8%	32.8%	21
Tax Rate	19.0%		19.0%	-1

Source: Company reports, Bloomberg Finance L.P. and J.P. Morgan estimates.

Table 3: KO 2Q24 Organic Revenue* Performance by Division

2Q24	+/-/=				
Organic Sales	Actual	JPMc	Consensus	vs. JPMc	vs. Cons
Total Company	11.0%	10.7%	9.7%	29	130
Unit Case Volume	2.0%	2.1%	1.7%	(14)	30
Price/Mix	9.0%	8.6%	8.0%	43	100
EMEA	24.0%	19.0%	19.7%	500	430
Unit Case Volume	0.0%	1.0%	2.3%	(100)	(230)
Price/Mix	24.0%	18.0%	17.4%	600	660
Latin America	24.0%	22.5%	19.5%	150	450
Unit Case Volume	5.0%	2.5%	2.5%	250	250
Price/Mix	19.0%	20.0%	17.0%	(100)	200
North America	10.0%	4.3%	4.5%	575	550
Unit Case Volume	-1.0%	-0.3%	0.1%	(75)	(110)
Price/Mix	11.0%	4.5%	4.4%	650	660
Asia-Pacific	0.0%	9.0%	6.6%	(900)	(660)
Unit Case Volume	3.0%	5.0%	1.9%	(200)	110
Price/Mix	-3.0%	4.0%	4.7%	(700)	(770)
Global Ventures	1.0%	5.0%	2.9%	(400)	(190)
Unit Case Volume	3.0%	3.0%	2.2%	0	80
Price/Mix	-2.0%	2.0%	0.7%	(400)	(270)
BIG	-20.0%	8.0%	6.4%	(2800)	(2640)
Unit Case Volume	-27.0%	4.0%	2.6%	(3100)	(2960)
Price/Mix	7.0%	4.0%	3.8%	300	320

Source: Company reports, Consensus Metrix and J.P. Morgan estimates. *Organic Revenue based on unit case volume (rather than concentrate sales) and price/mix

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Coca-Cola(KO/\$64.77/OW)

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Coca-Cola (KO, KO US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Oct 03, 2011. All share prices are as of market close on the previous business day.

Date	Rating	Price (\$)	Price Target (\$)
12-Oct-21	N	54.23	60
28-Oct-21	N	55.52	59
13-Dec-21	OW	56.28	63
04-Feb-22	OW	61.61	64
10-Feb-22	OW	61.04	65
30-Mar-22	OW	62.16	68
22-Apr-22	OW	66.21	73
20-Jul-22	OW	62.53	70
21-Oct-22	OW	55.08	63
26-Oct-22	OW	58.95	64
17-Jan-23	OW	61.43	67
17-Apr-23	OW	63.05	68
14-Jul-23	OW	60.35	67
27-Jul-23	OW	63.05	71
16-Oct-23	OW	52.89	59
24-Oct-23	OW	54.08	62
31-Jan-24	OW	59.90	64
14-Feb-24	OW	59.35	66
19-Apr-24	OW	58.91	65
01-May-24	OW	61.77	68
10-Jul-24	OW	62.69	72

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